

Amazon.com, Inc. (AMZN) - Investment Memo

DATE

**October 3,
2026**

PRICE

**\$251.52
(Oct 2
close)**

MARKET CAP

\$2.71T

RECOMMENDATION

Hold

12-MONTH

TARGET

\$255 (+1%)

CONVICTION

Medium

1. Recommendation and thesis

Hold. AWS is accelerating and operating income is rising fast. But the stock already prices that in at about 24x forward P/E, and trailing free cash flow is negative. My probability-weighted DCF is about \$212 per share (my estimate), below the market price. The consensus target of about \$331 needs the bull case to come true.

- AWS acceleration is real and is the core of the thesis.** - AWS grew 37% in Q2 2026, after 28% in Q1 and 17% a year earlier. Segment operating income was \$16.6B on \$42.2B of sales, a margin of about 39% (8-K-EX-2026-07). - Testable: Q3 AWS growth stays at or above 30% and margin at or above 35%.
- The 2026 capex surge delays free cash flow.** - Cash capex was \$53.1B in Q2. Management raised 2026 capex guidance to about \$220B from about \$200B, citing memory costs (web: Webull recap of the Q2 call). - TTM free cash flow was an outflow of \$7.6B (8-K-EX-2026-07). - Testable: TTM FCF stays negative through Q4 2026. A positive FCF inflection is unlikely before 2027 (my view).
- Reported earnings overstate run-rate profit.** - Q2 net income of \$62.6B (\$5.75 per share) included \$53.4B of pre-tax non-operating income, mostly Anthropic mark-ups (8-K-EX-2026-07). - Consensus FY26 EPS is \$12.88, while FY27 is \$10.51, an implied 18% decline (my arithmetic). That gap is consistent with the gains rolling off. - Testable: I expect Q3 operating income inside the \$22.5-26.5B guidance range.
- Funding is becoming a balance-sheet issue.** - Total debt rose from \$153B (Dec 2025) to \$210B (Mar 2026) (quarterly balance sheet). Yahoo shows \$251.6B at the latest reading. - Amazon completed four multi-currency bond sales in 2026 (see Section 4). - Amazon also committed \$50B to OpenAI preferred stock. It had funded \$28.7B by June 30 and funded the remaining \$21.3B after quarter-end (10-Q-2026-06).

Two-year total return vs the S&P 500



Source: Yahoo Finance, dividend-adjusted.

2. Company overview

Amazon sells consumer products through first-party and third-party seller programs. It also sells advertising, Prime subscriptions, devices and media, and AWS cloud and AI services. It has about 1.6M employees (profile).

Segment (Q2 2026)	Sales	YoY	Op. income	Margin	Mix
North America	\$116.2B	+16%	\$9.1B	7.9%	58%
International	\$42.2B	+15%	\$1.7B	4.1%	21%
AWS	\$42.2B	+37%	\$16.6B	39.4%	21%
Total	\$200.6B	+20%	\$27.5B	13.7%	100%

Source: 8-K-EX-2026-07. Margins are my arithmetic.

- **AWS share of profit:** AWS produced about 60% of Q2 segment operating income on 21% of sales (16.6 divided by 27.5, my arithmetic).
- **Other disclosed metrics (8-K-EX-2026-07):**
 - Both the AWS AI business and the chips business are above \$25B run rates, growing at triple-digit rates.
 - Amazon Business has \$60B of annualized gross sales.
 - Advertising grew 26%. The dollar figure of \$19.8B comes from a web recap (Yahoo).
 - **AWS backlog:** \$496B, growing triple digits (web: Yahoo call highlights).
 - **Key customers:** the AWS AI relationships are concentrated in Anthropic and OpenAI. Both made multi-year, multi-gigawatt Trainium commitments (8-K-EX-2026-07). Amazon is also an investor

in both. In my view that makes the demand partly circular.

3. Industry and competitive position

Structure (my judgement, not from the tool results).

- Cloud is dominated by AWS, Microsoft and Google.
- Management says it will not have enough capacity to meet demand in 2026 and 2027 (web: Yahoo call summary).
- Walmart and Costco are the retail comparisons in the peer set.

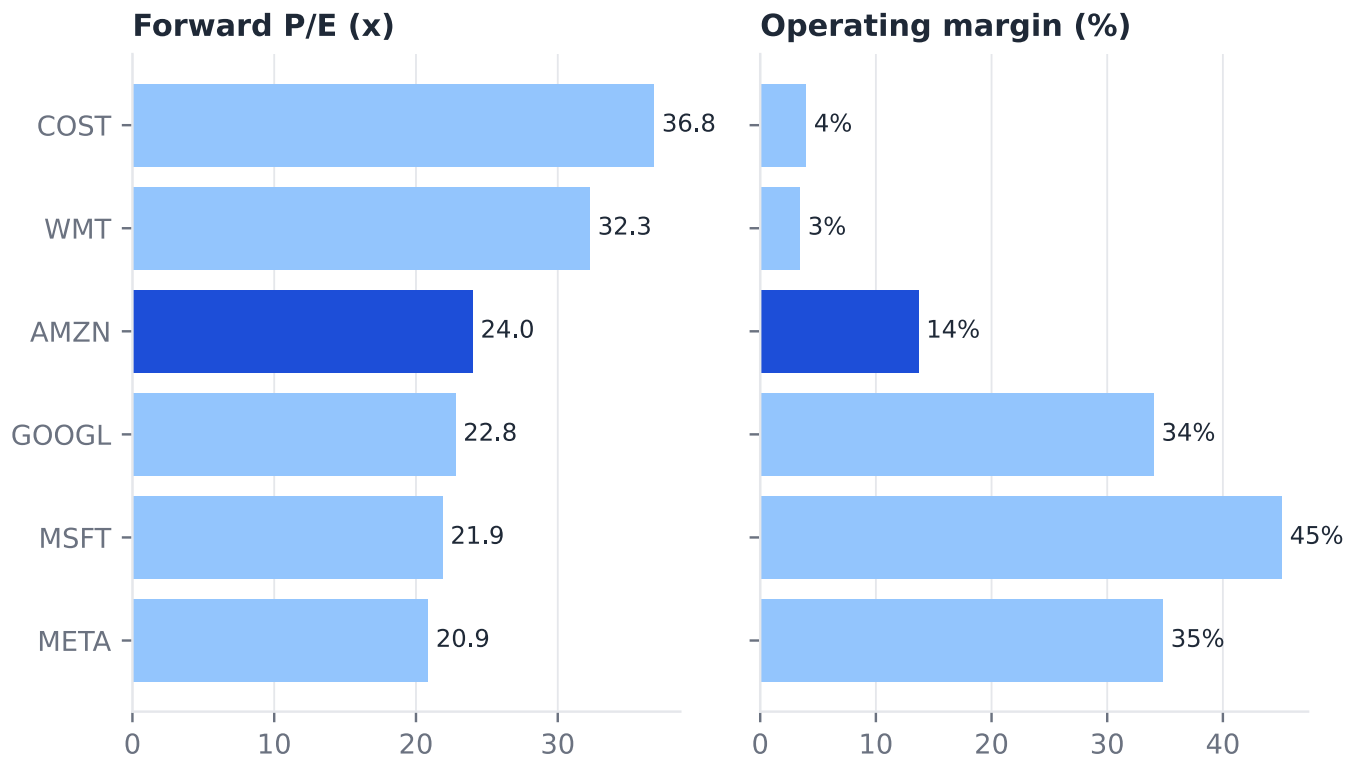
Moat.

- Scale in logistics, Prime and its two-sided marketplace.
- Custom silicon: Graviton is used by 98% of the top 1,000 EC2 customers (8-K-EX-2026-07).
- Advertising attached to retail traffic.

	Mkt cap	Fwd P/E	TTM P/E	EV/EBITDA	P/S	Rev growth	Op margin	ROE
AMZN	2.71T	24.0	20.0	16.8	3.5	19.6%	13.7%	30.6%
MSFT	3.84T	21.9	28.6	20.1	11.6	17.7%	45.1%	34.0%
GOOGL	4.20T	22.8	17.2	23.7	9.4	24.2%	34.0%	48.7%
META	1.85T	20.9	27.3	17.1	8.1	28.0%	34.8%	29.8%
WMT	827B	32.3	37.6	20.4	1.1	5.9%	3.5%	22.3%
COST	408B	36.8	44.5	27.5	1.3	11.1%	4.0%	28.4%

Source: *compare_peers*.

- **Where it wins:** AWS growth and margin, ad growth, and delivery speed. Items delivered same-day or overnight were up more than 40% in H1 (8-K-EX-2026-07).
- **Where it loses:** the consolidated operating margin of 13.7% is well below the cloud peers and far above the retailers. The North America margin is 7.9%.
- **Multiple:** the forward P/E of 24 is the highest among MSFT, GOOGL and META (21.9, 22.8, 20.9). Those peers' operating margins are 2.5-3.3 times Amazon's (my arithmetic).



Peers chosen by the agent. Source: Yahoo Finance.

4. Financial analysis

FY	Revenue	Op. margin	Net income	EPS*	FCF
2016	\$136.0B	3.1%	\$2.4B	4.90	\$10.5B
2017	\$177.9B	2.3%	\$3.0B	6.15	\$6.4B
2018	\$232.9B	5.3%	\$10.1B	20.14	\$17.3B
2019	\$280.5B	5.2%	\$11.6B	23.01	\$21.7B
2020	\$386.1B	5.9%	\$21.3B	2.09	\$25.9B
2021	\$469.8B	5.3%	\$33.4B	3.24	-\$14.7B
2022	\$514.0B	2.4%	-\$2.7B	-0.27	-\$16.9B
2023	\$574.8B	6.4%	\$30.4B	2.90	\$32.2B
2024	\$638.0B	10.8%	\$59.3B	5.53	\$32.9B
2025	\$716.9B	11.2%	\$77.7B	7.17	\$7.7B

Source: `get_financial_history`. Operating margins are my arithmetic. *EPS is as reported and not split-adjusted before 2020.

Growth.

- Revenue grew at a roughly 20% CAGR from 2016 to 2025 (my arithmetic).
- Revenue growth accelerated from 12% in 2025 (my arithmetic: $716.9 / 638.0$) to 17% in Q1 and 20% in Q2 2026 (8-K-EX-2026-04, 8-K-EX-2026-07).

Latest quarter, Q2 2026.

- Sales of \$200.6B, operating income of \$27.5B (+43%) and EPS of \$5.75 (8-K-EX-2026-07).
- H1 2026 operating income was \$51.3B, against \$37.6B in H1 2025.

Guidance.

- Q3 sales are guided to \$197-202B, up 9-12%. Growth would be nearly 400 basis points higher excluding Prime Day in both years. FX is a headwind of about 80 basis points.
- Q3 operating income is guided to \$22.5-26.5B, against \$17.4B a year ago (8-K-EX-2026-07).
- Ex-Prime Day growth is therefore about 13-16% (my arithmetic).

Cash conversion.

- 2025 operating cash flow was \$139.5B against capex of \$131.8B, leaving FCF of \$7.7B.
- Q1 2026 operating cash flow was \$26.0B against capex of \$44.2B, an FCF of -\$18.2B (quarterly cash flow).
- Q1 cash capex was \$43.2B in the 10-Q (10-Q-2026-03). I have not reconciled the \$1B difference with the cash flow statement.
- D&A was \$18.9B in Q1 2026, up from \$14.3B a year earlier. Depreciation will keep pressuring margins as capex lands.

Balance sheet.

- At Mar 31, 2026, cash and short-term investments were \$143B and total debt was \$210B. Equity was \$442B.
- Yahoo's latest figures are cash of \$123B and debt of \$252B. The profile does not say whether debt includes leases.
- Net debt is therefore roughly \$67B at Q1 and about \$129B on Yahoo's figures (my arithmetic).
- Debt to Q1 EBITDA of \$59.6B is 3.5x. That EBITDA includes \$16.0B of non-operating gains. Excluding them, leverage is about 4.8x (my estimate: $209.9 / (59.6 - 16.0)$).

2026 bond issuance (8-K-2026-03, -06, -07-2, -09).

- Mar 16: €14.473B aggregate public offering price.
- Jun 12: C\$13.967B.
- Jul 9: \$24.923B.
- Sep 14: £4.242B.
- Each sale was registered under an S-3 filed Feb 6, 2026. I have not converted the currencies or summed them.
- The July and September deals post-date the June 30 balance sheet.

- The 8-Ks of Mar 13, Jun 10 and Sep 9 (8-K-2026-03-2, 8-K-2026-06-2, 8-K-2026-09-2) were not read.

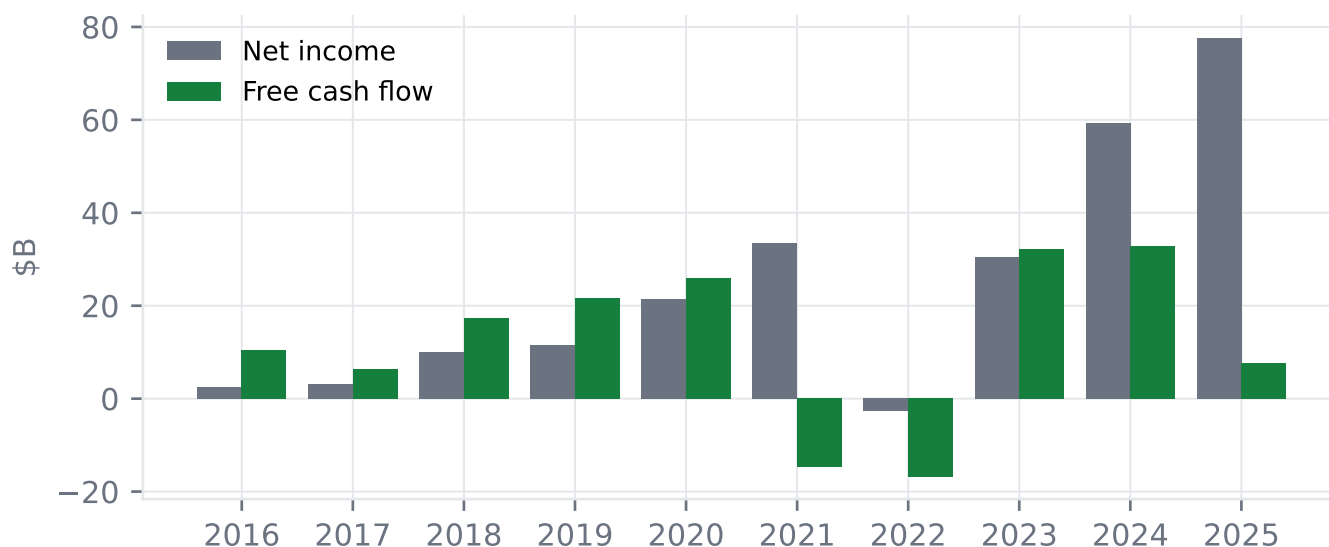
Quality-of-earnings flags.

1. **Investment gains.** - Q1 non-operating income was \$16.0B, including \$12.3B of private-company upward adjustments, mainly Anthropic. - Q2 non-operating income was \$53.4B (8-K-EX-2026-04, 8-K-EX-2026-07, 10-Q-2026-03). - Q2 net income was \$62.6B against operating income of only \$27.5B. TTM P/E of 20x is therefore flattering.
2. **SBC** was \$4.0B in Q1 and \$4.4B in Q4 2025. It is modest relative to cash flow, but FCF excludes it.
3. **Tax.** The effective tax rate was 24% in Q1 (my arithmetic: \$9.56B on \$39.8B pre-tax). Accelerated depreciation and the 2026 tax notice cut cash taxes (10-Q-2026-03).
4. **Energy derivatives.** The company remeasures long-dated power contracts at fair value. Guidance assumes no impact from these.
5. **Share count.** There are no buybacks, so the diluted share count is rising: 10.83B in 2025 and 10.90B in Q2 2026.



Source: SEC XBRL (10-K as reported).

Cash conversion: free cash flow vs net income



Free cash flow = operating cash flow - capital expenditure. Source: SEC XBRL.

5. Management, governance and capital allocation

Leadership.

- Andy Jassy is CEO. Jeff Bezos is Executive Chair. Matt Garman runs AWS, Doug Herrington runs Stores, and Brian Olsavsky is CFO (insider data).

Pay structure (DEF14A-2026-05).

- Pay is anchored on periodic time-vested RSUs. They are designed so that pay is hurt if the stock is flat or falls.
- Jassy has had no new grant since 2021. More than 80% of his 2021 award vests in 2026-2031.
- His 2025 Summary Compensation Table total was \$2.07M. His compensation actually paid was \$13.2M.
- In 2022, when TSR fell about 50%, his compensation actually paid was -\$148M. That is genuine alignment with the share price.
- The weakness, in my reading of the proxy excerpts I reviewed, is that pay is tied to share price rather than to operating or return-on-capital metrics. The \$220B capex programme is therefore not directly tied to returns on capital.

Insider activity (last 12 months).

- There were 65 open-market sales totalling \$416.8M and zero open-market purchases.
- Bezos sold \$346.5M. Jassy sold \$27.0M. Herrington sold \$19.6M. Garman sold \$10.9M.
- The data note says many sales are probably pre-scheduled under 10b5-1 plans. Even so, no insider is buying.

Capital allocation.

- There have been no buybacks since a \$6B repurchase in 2022 (financial history).
- There is no dividend.
- Cash goes to capex plus strategic investments:
- Anthropic: \$8.0B in convertible notes through Q4 2025, plus \$10.0B of preferred in Q2 2026.
- OpenAI: \$50B committed, fully funded by Q3 (10-Q-2026-06).
- Debt-funded AI infrastructure and investments are a large capital-allocation bet. Returns so far look strong at AWS (39% margin), but the payback is not yet visible in free cash flow.

6. Valuation

DCF. The base year is a normalized FCF, since reported FCF is depressed by growth capex.

- Normalized first-year FCF is \$40B / \$55B / \$70B (bear / base / bull). These are my estimates.
- One reference point (my estimate): 2026 operating income is around \$105B (H1 actual \$51.3B, plus Q3 at the guidance midpoint of \$24.5B, plus an assumed \$30B in Q4). Cash-tax shields and capex above depreciation absorb much of it.
- All cases use 10.9B shares and net debt of \$128.6B (Yahoo cash \$123B less debt \$252B). Equity stakes in Anthropic and OpenAI are excluded from the DCF.

Assumption	Bear	Base	Bull
Base FCF	\$40B	\$55B	\$70B
Growth Y1 → Y10	25% → 5%	30% → 6%	35% → 7%
Discount rate	10.5%	9.5%	9.0%
Terminal growth	2.5%	3.0%	3.5%
Terminal value as % of EV	54%	62%	67%
Value per share	\$93	\$201	\$354
vs. \$251.52	-63%	-20%	+41%

Base-case sensitivity (value per share).

Discount rate	g 2.5%	g 3.0%	g 3.5%
8.5%	\$230	\$245	\$263
9.5%	\$191	\$201	\$213
10.5%	\$163	\$170	\$178

Cross-checks.

- **P/E:** consensus FY27 EPS is \$10.51. At the current forward P/E of 24.0, that equals \$252. At 25x it is \$263 (my arithmetic).
- **FY27 EPS carries gains risk.** The estimate range runs from \$8.73 to \$15.04.
- **Relative P/E:** the forward P/E is above MSFT, GOOGL and META, but their margins are 2.5-3.3 times higher.

What the market must believe.

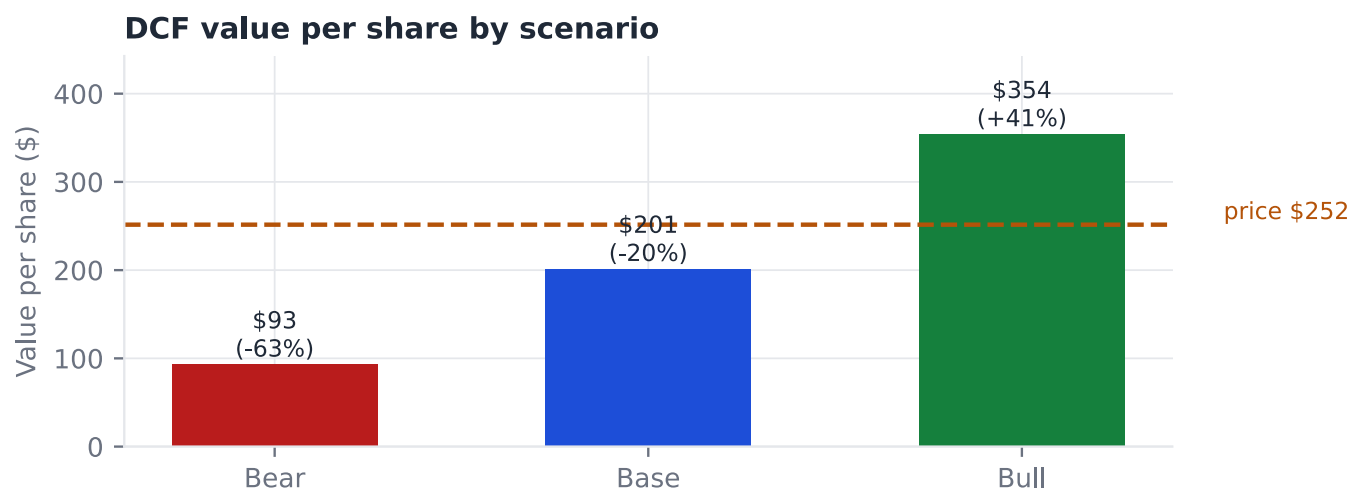
- At \$252 the price sits between my base case (\$201) and bull case (\$354).
- It therefore needs outcomes between my base and bull cases: first-year FCF above my base of \$55B, and growth well into the 20s for several years. This is my qualitative reading of the DCF outputs, not a solved reverse-DCF.
- That implies AWS revenue compounding at 25% or more while capex converts to margin. The \$496B backlog supports this, but it relies heavily on two AI labs.

Scenario table.

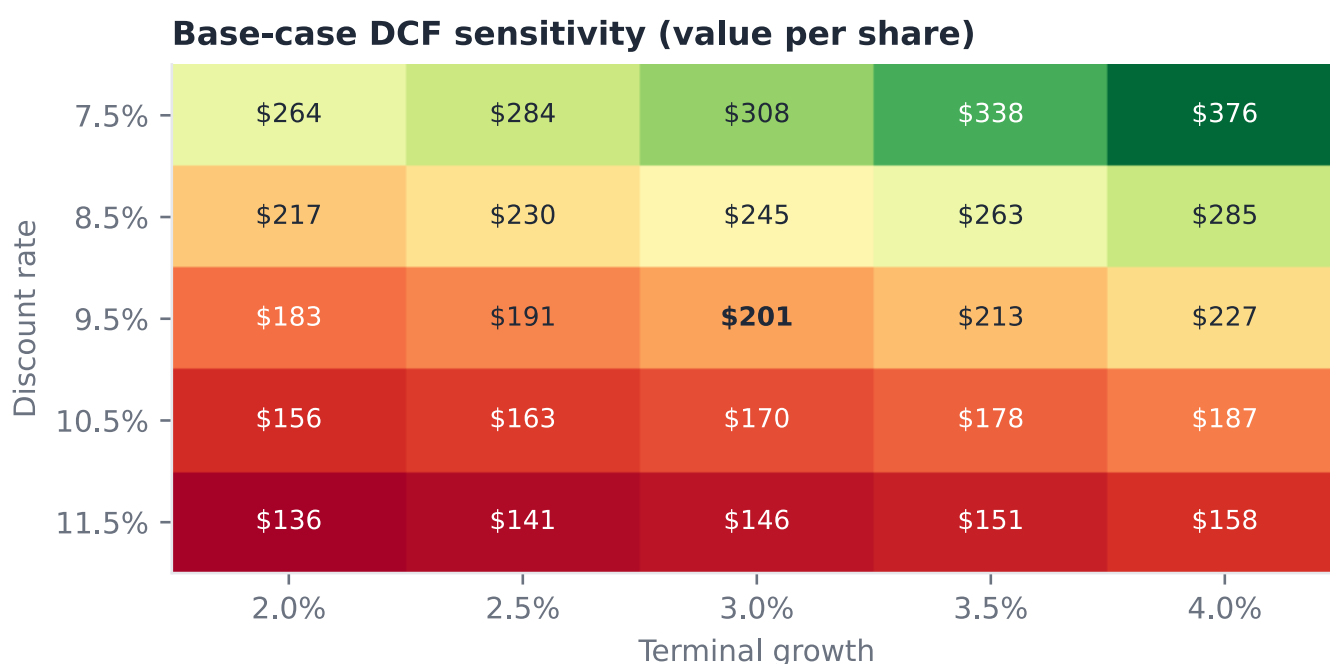
Scenario	Prob. (my estimate)	Key assumption	Value	vs. price
Bear	25%	AI demand digests, AWS growth fades below 15%, returns on capex disappoint	\$93	-63%
Base	50%	AWS growth in the 25-30% range for 2 years, FCF positive in 2027	\$201	-20%
Bull	25%	Backlog converts, margin at 40%+, ads and retail margin expansion	\$354	+41%

12-month target (my arithmetic).

- Probability-weighted DCF: $0.25 \times 93 + 0.50 \times 201 + 0.25 \times 354 = \212 .
- Add investment stakes excluded from the DCF. At cost, OpenAI (\$50B) plus Anthropic (\$18B invested) is about \$68B, or about \$6 per share ($68 / 10.9$). Their fair value is probably much higher, but I did not retrieve a carrying value, so I use cost only. That brings the value to about \$218.
- Market-based check: 24-25x FY27 EPS of \$10.51 gives \$252-263.
- I set the target at \$255, weighted toward the market-multiple approach, because the DCF has a long way to run before FCF turns positive. That is +1% ($255 / 251.52$), which supports Hold.



Values recomputed from the agent's DCF inputs.



Green = above the current price, red = below. Centre cell is the base case.

7. Variant perception

Consensus.

- The profile shows 57 analysts. The ratings breakdown is 15 strong buy, 42 buy, 2 hold and 0 sell. The mean target is \$330.59, range \$230-405, an implied upside of 31%.
- The FY26 EPS estimate of \$12.88 has risen from \$8.69 over 90 days. Revisions are positive (7 up, 1 down).
- Consensus revenue is \$828B in FY26 (+15.5%) and \$948B in FY27 (+14.4%).

Where I differ.

1. **Earnings quality.** Consensus FY26 EPS rose 48% in 90 days (my arithmetic). Given the Q2 gains, I infer investment marks drove much of that. I treat the \$53.4B as non-recurring. On \$12.88 the stock looks like 19.5x. On FY27 EPS it is about 24x.
 2. **Cash flow.** Consensus targets price in an AWS-driven earnings ramp but do not, in my view, discount a year or more of negative FCF and rising debt. My bull case needs FCF to rise from negative to \$70B or more.
 3. **Guidance shape.** Revenue growth is guided down to 9-12% for Q3. Part of this is Prime Day timing, which sat in Q2 this year. Excluding that, growth is about 13-16% (my arithmetic). That is still a deceleration from Q2's 20%.
 4. **Where I am more positive than the street.** AWS margin of 39% with accelerating growth suggests capex is being absorbed. If margin holds as depreciation rises, the bull case is closer than I assume. This is the main reason I do not recommend Sell.
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8. Key risks and mitigants

1. **AI capex returns and AI-lab concentration.** \$220B of 2026 capex, a \$496B backlog concentrated in AI labs that Amazon also funds. *Signal:* AWS margin falling below 35%, or backlog growth slowing. *Mitigant:* the capacity shortage and triple-digit growth in AI and chips (8-K-EX-2026-07).
 2. **Negative FCF and leverage.** TTM FCF is -\$7.6B and debt is above \$200B. *Signal:* more bond issuance (four deals in 2026: Mar, Jun, Jul, Sep). *Mitigant:* \$161B of TTM operating cash flow and a large cash balance.
 3. **Earnings volatility from investment marks.** The Anthropic and OpenAI marks could reverse in a down round. *Signal:* non-operating losses. *Mitigant:* they are non-cash and non-operating.
 4. **Input costs.** Memory chip prices drove the capex raise. The earnings release lists "resource and supply volatility, including for memory chips" as a risk (8-K-EX-2026-07). *Mitigant:* in-house Trainium and Graviton silicon.
 5. **Retail, consumer and tariffs.** North America margin is 7.9%, and the release flags tariffs, recession fears and energy prices. *Mitigant:* growth in ads (+26%) and groceries.
 6. **Regulation and litigation.** The company expected to pay an FTC lawsuit settlement from cash on hand (10-Q-2025-09). Other regulatory scrutiny is a general risk. I did not review the 10-K risk factors, so this is not a full list.
 7. **Valuation and beta.** Beta is 1.44, volatility 34% and max drawdown 21.7% over the last year. The stock is up 13.1% over the year against the S&P 500's 16.2%.
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9. Catalysts and timeline

- **Late October 2026 (est.):** Q3 results. Guidance is sales of \$197-202B and operating income of \$22.5-26.5B. Consensus EPS is \$1.95 on revenue of \$202B, at the top of the guided sales range. Watch the AWS growth rate, the capex run-rate and the Q4 outlook.

- **Q4 2026:** consensus for the quarter is revenue of \$244B and EPS of \$2.44.
 - **Early February 2027 (est.):** Q4 results and 2027 capex guidance. This is the key check on whether capex rises above \$220B.
 - **Ongoing:** further debt issuance, Anthropic and OpenAI funding rounds, and Trainium commitments.
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10. What would change our mind

To Buy (target above \$300):

- AWS growth holds above 35% and margin stays at or above 38% for two more quarters.
- Capex growth slows while backlog converts and FCF turns positive.
- Stores operating margin expands above 9%.
- The stock pulls back to about \$200-215, which would give a margin of safety against my DCF.

To Sell (target below \$200):

- AWS growth falls below 25%, or margin below 33%.
 - 2027 capex guidance goes well above \$250B with no matching backlog growth.
 - A down round or funding stress at Anthropic or OpenAI.
 - Net debt keeps growing without an FCF path, or the company gives lower-margin guidance.
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Appendix: Sources

Filings reviewed:

- 8-K-EX-2026-07 (Q2 2026 earnings release, filed 2026-07-30)
- 8-K-EX-2026-04 (Q1 2026 earnings release, 2026-04-29)
- 10-Q-2026-06 (2026-07-31)
- 10-Q-2026-03 (2026-04-30)
- 10-Q-2025-09 (2025-10-31)
- 10-Q-2025-06 (2025-08-01)
- DEF14A-2026-05 (2026-04-09)
- Debt-offering 8-Ks, read in full: 8-K-2026-03 (2026-03-16), 8-K-2026-06 (2026-06-12), 8-K-2026-07-2 (2026-07-09), 8-K-2026-09 (2026-09-14)
- Listed but not read: 10-K-2025-12 and the other 10-Ks, 8-K-2026-03-2, 8-K-2026-06-2, 8-K-2026-09-2, and the remaining 8-Ks and exhibits. The business, segment and risk-factor analysis therefore relies on the earnings releases, 10-Qs and tool data.

Data tools: `get_company_profile`, `get_price_performance`, `get_financial_history`, `get_financial_statements` (income, balance, cash flow, quarterly), `get_analyst_estimates`, `compare_peers`, `get_insider_activity`, `search_filings`, `read_filing`, `run_dcf` (bear, base, bull).

Web sources cited:

- Webull, "Amazon (AMZN) Q2 2026 Earnings: Revenue Beats, AWS Surges 37%" (webull.com/blog/242-Amaon-AMZN-Q2-2026-Earnings-Recap), for the capex guidance of about \$220B, Q2 cash capex of \$53.1B, and the \$496B backlog.
- Yahoo Finance, "Amazon.com Inc (AMZN) (Q2 2026) Earnings Call Highlights" (finance.yahoo.com), for the capacity constraints, the AWS margin and the advertising figure.

Limits of this memo: the web figures come from secondary recaps. The DCF base-year FCF figures and the scenario probabilities are my own estimates. The OpenAI and Anthropic carrying values were not retrieved.

Fact-check notes

1. Corrected 2025 revenue growth from "11%" to 12% ($716.9 / 638.0 = 12.4\%$).
 2. Corrected the bond-filing references. I had cited 8-K-2026-07, which is the earnings 8-K. The correct filings are 8-K-2026-03, -06, -07-2 and -09. I read them and added the actual deal sizes in local currency. They were previously described as "amounts n/a".
 3. Removed the unsupported claim that this is Amazon's "first-time net-debt position for the modern Amazon".
 4. Added the ex-gains leverage estimate of about 4.8x. The 3.5x debt/EBITDA I originally gave used an EBITDA that includes \$16.0B of non-operating gains.
 5. Reworded the FTC item. The 10-Q says the company expects to use cash on hand for the settlement. I had said it was settled and paid.
 6. Fixed the peer margin comparison from "2-3 times" to 2.5-3.3 times.
 7. Clarified the analyst count: the profile shows 57 analysts, while the ratings breakdown sums to 59.
 8. Removed "Prime Big Deal Days" from the catalysts (unsupported). Removed unsupported claims about EU and antitrust scrutiny, and about debt-funded capex being the "biggest" bet in the company's history.
 9. Labelled as my own judgement or estimate: the market-structure description of cloud, the "partly circular" demand claim, the pay-structure critique, the base-year operating income, and the "what the market must believe" paragraph. I replaced the earlier specific "\$70B first-year FCF" claim there, since it was not a solved reverse-DCF.
 10. Removed the "Q3 operating income" line from the earlier "Yahoo shows" phrasing in thesis point 4 and trimmed the 10-K statement. The 10-K was not read, so it is listed as unread.
 11. Verified without change: segment margins and mix, the operating-margin table, the 20% revenue CAGR, the 24% tax rate, the net-debt arithmetic, the DCF outputs, the scenario weighting (\$212), the \$218 and \$255 target arithmetic, consensus figures, insider totals, the proxy compensation figures, and the OpenAI and Anthropic investment amounts.
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This memo was generated by an AI research agent for educational purposes. It is not investment advice. Verify all figures before making any decision.

Generated October 03, 2026. Model: claude-sonnet-5-5 | cost \$0.49 | 23 tool calls.